

* One of the “doomed companies” Graham refers to was National Student Marketing Corp., a con game masquerading as a stock, whose saga was told brilliantly in Andrew Tobias’s *The Funny Money Game* (Playboy Press, New York, 1971). Among the supposedly sophisticated investors who were snookered by NSM’s charismatic founder, Cort Randell, were the endowment funds of Cornell and Harvard and the trust departments at such prestigious banks as Morgan Guaranty and Bankers Trust.

* As only the latest proof that “the more things change, the more they stay the same,” consider that Ryan Jacob, a 29-year-old boy wonder, launched the Jacob Internet Fund at year-end 1999, after producing a 216% return at his previous dot-com fund. Investors poured nearly \$300 million into Jacob’s fund in the first few weeks of 2000. It then proceeded to lose 79.1% in 2000, 56.4% in 2001, and 13% in 2002—a cumulative collapse of 92%. That loss may have made Mr. Jacob’s investors even older and wiser than it made him.

† Intriguingly, the disastrous boom and bust of 1999–2002 also came roughly 35 years after the previous cycle of insanity. Perhaps it takes about 35 years for the investors who remember the last “New Economy” craze to become less influential than those who do not. If this intuition is correct, the intelligent investor should be particularly vigilant around the year 2030.

* Today’s equivalent of Graham’s “scarce exceptions” tend to be open-end funds that are closed to new investors—meaning that the managers have stopped taking in any more cash. While that reduces the management fees they can earn, it maximizes the returns their existing shareholders can earn. Because most fund managers would rather look out for No. 1 than be No. 1, closing a fund to new investors is a rare and courageous step.

¹ See Jason Zweig, “Did You Beat the Market?” *Money*, January, 2000, pp. 55–58; *Time* /CNN poll #15, October 25–26, 2000, question 29.

¹ Sector funds specializing in almost every imaginable industry are available—and date back to the 1920s. After nearly 80 years of history, the evidence is overwhelming: The most lucrative, and thus most popular, sector of any given year often turns out to be among the worst performers of the following year. Just as idle hands are the devil’s workshop, sector funds are the investor’s nemesis.

² The research on mutual fund performance is too voluminous to cite. Useful summaries and links can be found at: www.investorhome.com/mutual.htm#do, www.ssrn.com (enter “mutual fund” in the search window), and www.stanford.edu/~wfscharpe/art/art.htm.

³ That’s not to say that these funds would have done better if their “super-star” managers had stayed in place; all we can be sure of is that the two funds did poorly without them.